

PRESSURE ON THE FISC



Fiscal deficit target (4.3% of the GDP) would have to be revisited later this year



Centre has rolled out several measures to cushion the impact of the oil shock



ECLGS Scheme 5.0 worth ₹2.5 lakh crore cleared to benefit MSMEs, airlines amid conflict



Fertiliser subsidy seen to be higher in FY27 by at least ₹35,000 crore

AN EYE TOWARDS THE SKY



There is uncertainty over the monsoon with forecasts of El Niño; could push up temperatures



IMD predicts below normal monsoon at 92% of the long period average



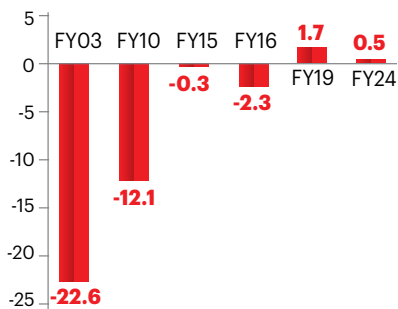
Poor rains could hurt agri growth, raise food prices and push up inflation



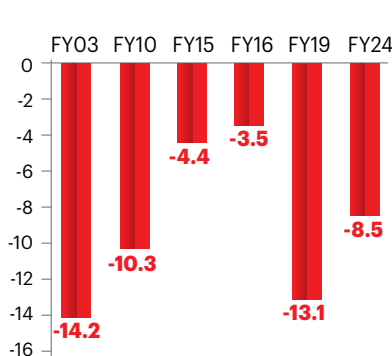
But experts say farm sector is more resilient, impact of poor monsoons may be limited

OUTPUT OF KEY CROPS IN DEFICIT RAINFALL YEARS

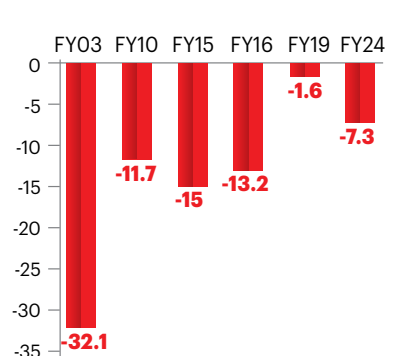
CEREALS



OILSEEDS



PULSES



SOURCE EQUIRUS SECURITIES

manageable. “The pressure on the current account deficit is very real,” Bhanumurthy underlines, noting that the Reserve Bank of India (RBI) and the finance ministry have taken measures to address it in recent months.

Chief Economic Advisor V. Anantha Nageswaran elaborated on the scale of the challenge and said that the West Asia crisis has turned into a “live balance-of-payments stress test” for India and has direct implications for inflation, current account deficit and the rupee.

“Managing the current account credibly, financing it sustainably, and preventing further currency depreciation are the central macroeconomic imperatives of this fiscal year,” he said at the CII Annual Business Summit.

Kruse of World Bank believes that concerns over the capital account, especially the low foreign direct investment, are much bigger for India. “The capital account story is the one that’s a bit more mysterious in the sense that you’ve seen portfolio investment decelerating and